

Sl. No	QUESTION	ANSWER
MODULE 1		
1	The financial system primarily deals with A. Production of goods B. Flow of funds C. Distribution of goods D. Tax collection	B
2	Which of the following is NOT a component of a financial system? a) Financial markets b) Financial institutions c) Agricultural sector d) Financial instruments	C
3	Financial system helps in: a) Capital formation b) Price rise c) Reducing savings d) Increasing imports	A
4	The central bank of India is: a) SBI b) NABARD c) Reserve Bank of India d) SEBI	C
5	Which institution regulates the capital market in India? a) RBI b) Securities and Exchange Board of India c) SBI d) LIC	B
6	Financial institutions include: a) Banks b) Insurance companies c) Mutual funds d) All of the above	D
7	Which sector is part of the unorganized financial system? a) Commercial banks b) Stock exchanges c) Money lenders d) Insurance companies	C
8	Financial system promotes: a) Savings and investment b) Inflation c) Unemployment d) Inequality	A
9	Efficient financial systems lead to:	B

	a) Resource misallocation b) Economic growth c) Reduced production d) Trade barriers	
10	Financial markets are places where: a) Goods are produced b) Services are sold c) Financial assets are traded d) Taxes are collected	C
11	Which of following is a financial instrument? a) Shares b) Bonds c) Debentures d) All of the above	D
12	Money market deals in: a) Long-term funds b) Short-term funds c) Equity shares d) Real estate	B
13	Capital market deals in: a) Short-term funds b) Medium-term funds c) Long-term funds d) None	C
14	Primary market is also known as: a) Secondary market b) New issue market c) Stock market d) Money market	B
15	Bonds are: a) Equity instruments b) Debt instruments c) Derivatives d) Commodities	B
16	Fixed interest income is associated with: a) Equity shares b) Bonds c) Commodities d) Derivatives	B
17	Equity shareholders are: a) Creditors b) Owners of the company c) Debtors d) Lenders only	B
18	Dividend is paid to: a) Debenture holders	B

	b) Equity shareholders c) Creditors d) Banks	
19	Derivatives derive value from: a) Physical goods b) Underlying assets c) Currency only d) Government policies	B
20	Example of derivative instrument: a) Shares b) Bonds c) Futures d) Debentures	C
21	Commodities market deals in: a) Financial securities b) Physical goods c) Only shares d) Only bonds	B
22	Example of commodity: a) Gold b) Wheat c) Oil d) All of the above	D
23	Liquidity means: a) Profitability b) Ease of buying and selling assets c) Risk d) Taxation	B
24	Efficient markets are characterized by: a) Lack of information b) Transparency c) High risk only d) No trading	B
25	Financial markets are regulated to ensure: a) Monopoly b) Fair practices c) Price fixing d) Tax evasion	B
26	Financial system links: a) Government & banks b) Savers & investors c) Buyers & sellers d) Exporters & importers	B
27	Which is not a financial institution? a) Bank b) Insurance company	C

	c) Factory d) Mutual fund	
28	Capital formation means: a) Consumption b) Saving + Investment c) Spending d) Taxation	B
29	Financial intermediation refers to: a) Direct finance b) Indirect finance via institutions c) Trade d) Tax	B
30	Which is a financial claim? a) Bond b) Share c) Deposit d) All	D
MODULE 2		
31	The money market deals with: a) Long-term funds b) Short-term funds c) Equity shares d) Real estate	B
32	The maturity period of money market instruments is: a) More than 1 year b) Less than 1 year c) Exactly 5 years d) Unlimited	B
33	Which of the following is NOT a money market instrument? a) Treasury Bills b) Commercial Paper c) Equity Shares d) Certificate of Deposit	C
34	Money market helps in: a) Capital formation b) Liquidity management c) Industrial production d) Foreign trade only	B
35	A developed money market contributes to: a) Economic instability b) Efficient monetary policy c) High inflation d) Reduced banking system	B
36	The main objective of the money market is: a) Profit maximization b) Liquidity and safety	B

	c) Export promotion d) Tax collection	
37	Call money refers to: a) Long-term borrowing b) Borrowing for more than 1 year c) Overnight funds d) Equity investment	C
38	Call money is mainly used by: a) Farmers b) Banks c) Students d) Governments only	B
39	When money is borrowed for more than one day but up to 14 days, it is called: a) Call money b) Notice money c) Term money d) Demand loan	B
40	Treasury Bills are issued by: a) Commercial banks b) Corporates c) Central Government d) RBI employees	C
41	Treasury Bills are: a) Interest-bearing b) Issued at discount c) Equity instruments d) Long-term securities	B
42	Common maturity of Treasury Bills includes: a) 91 days b) 182 days c) 364 days d) All of the above	D
43	The discount market deals in: a) Shares b) Bills of exchange c) Bonds only d) Gold	B
44	Discounting means: a) Paying full value b) Paying after maturity c) Deducting interest in advance d) Giving bonus	C
45	Commercial Paper is issued by: a) Individuals b) Corporates	B

	c) Farmers d) RBI only	
46	Commercial Paper is: a) Secured b) Unsecured c) Government guaranteed d) Long-term	B
47	Minimum maturity of Commercial Paper in India is: a) 7 days b) 15 days c) 30 days d) 1 year	A
48	Certificate of Deposit is issued by: a) RBI only b) Commercial banks c) Farmers d) Stock exchanges	B
49	Certificate of Deposit is: a) Non-negotiable b) Negotiable instrument c) Equity share d) Long-term bond	B
50	CDs are issued in: a) Physical form only b) Dematerialized form c) Oral agreement d) Gold form	B
51	The Indian money market is regulated by: a) SEBI b) RBI c) Ministry of Agriculture d) LIC	B
52	The organized sector of Indian money market includes: a) Money lenders b) Indigenous bankers c) Commercial banks d) Traders	C
53	One major feature of Indian money market is: a) Uniformity b) Integration c) Dual structure d) No regulation	C
54	RBI controls money supply through: a) Fiscal policy b) Monetary policy c) Trade policy	B

	d) Industrial policy	
55	Which tool is used by RBI in money market? a) Repo rate b) Reverse repo rate c) Open market operations d) All of the above	D
56	Call money market is also known as: a) Capital market b) Interbank market c) Stock market d) Bond market	B
57	Treasury Bills are considered: a) Risky b) Highly risky c) Risk-free d) Speculative	C
58	Capital market deals with: a) Short-term funds b) Medium and long-term funds c) Only foreign exchange d) Agricultural loans	B
59	Capital market is broadly classified into: a) Primary and Secondary market b) Money and Call market c) Banking and Non-banking d) Domestic and Foreign market	A
60	The primary market is also known as: a) Stock market b) New issue market c) Call market d) Money market	B
MODULE 3		
61	Secondary market deals with: a) New securities b) Existing securities c) Government taxes d) Currency exchange	B
62	Which of the following is a feature of the primary market? a) Trading of old securities b) Issue of new securities c) Speculation only d) No regulation	B
63	Stock exchanges are part of: a) Primary market b) Secondary market c) Money market	B

	d) Call market	
64	Government securities are also known as: a) Corporate bonds b) G-Secs c) Equity shares d) Mutual funds	B
65	Government securities are issued by: a) Private companies b) Central and State Governments c) Individuals d) Banks only	B
66	Government securities are considered: a) Highly risky b) Moderately risky c) Risk-free d) Speculative	C
67	The maturity of government securities is generally: a) Short-term only b) Medium to long-term c) Overnight d) 7 days	B
68	Treasury Bills are part of: a) Capital market b) Government securities market c) Industrial market d) Foreign exchange market	B
69	Gilt-edged securities mean: a) High-risk securities b) Government-backed securities c) Foreign securities d) Corporate shares	B
70	Industrial loans market provides: a) Short-term credit b) Long-term finance to industries c) Agricultural loans only d) Personal loans	B
71	Which institution provides industrial finance in India? a) RBI b) Commercial banks c) Development banks d) Both b and c	D
72	Industrial loans are mainly used for: a) Consumption b) Capital expenditure c) Daily expenses d) Imports only	B

73	Development banks mainly provide: a) Short-term loans b) Medium and long-term loans c) Call money d) Demand loans only	B
74	Industrial finance helps in: a) Increasing unemployment b) Industrial growth c) Reducing production d) Limiting exports	B
75	The main aim of capital market is: a) Liquidity management b) Long-term investment c) Short-term borrowing d) Currency exchange	B